

Indian Food Delivery Market Analysis 2026: Competitive Landscape, Consumer Trends, and Regional Dynamics

1 Executive Summary

India's online food delivery market, valued at \$9.1 billion in 2024 and projected to reach approximately \$27 billion by 2030 at a ~19% CAGR [1], remains firmly controlled by a duopoly: Zomato holds ~58% market share and Swiggy ~42% [2, 3]. Zomato achieved its first full year of profitability in FY25 with ₹527 crore net income, while Swiggy posted a ₹3,107 crore loss — though that gap is narrowing as Swiggy's Q1 FY27 losses contracted 34% year-on-year [4, 5]. Despite their dominance, standalone food delivery remains unprofitable for both platforms, forcing aggressive platform fee hikes — from ₹2 per order in 2023 to ₹15–18 by late 2025 — and diversification into quick commerce and adjacent services [6, 3].

South India is the market's most strategically significant region. Bengaluru alone accounts for roughly 20% of national food delivery orders, and the region commands 35% of India's cloud kitchen revenue [7, 8]. Zomato has successfully closed a historically wide competitive gap with Swiggy in Southern cities, now approaching its national market share average there [9], while the region serves as the primary testing ground for hyperlocal delivery innovations and new entrants like Rapido's zero-commission Ownly platform [10, 11, 12].

The most consequential risk-opportunity tension lies in the emerging competitive threat from well-funded challengers — Rapido, Zepto Cafe, Magicpin, and potentially Flipkart — entering alongside intensifying regulatory pressure from CCI antitrust investigations and new gig worker social security obligations [13, 14, 15]. Tier-2 and tier-3 cities, already representing 20–25% of the market and benefiting from surging rural smartphone adoption [16, 1], offer the clearest growth runway, but profitability in these markets remains unproven. Success will hinge on balancing margin improvement through fee optimization against the price sensitivity of Indian consumers, whose average order value remains just \$5.2–\$5.4 [17].

2 Introduction

India's online food delivery market has emerged as one of the fastest-growing segments in the country's digital economy, underpinned by a massive consumer base and rapidly evolving infrastructure. The sector scaled from \$9.1 billion in 2024 and is projected to reach approximately \$27 billion by 2030, growing at a compound annual growth rate of around 19% [1]. Online delivery's share of the broader food services market is expected to rise from 11% in FY26 to 18% by FY31, reflecting a structural shift in how Indians consume food [18]. This growth is powered by India's 660 million smartphone users and 16–17 billion monthly UPI transactions, with rural smartphone adoption surging 40% between 2020 and 2024 and tier-2/3 cities accounting for over 70% of new smartphone sales [16].

This report examines the competitive dynamics between dominant players Zomato and Swiggy, analyzes consumer ordering patterns and pricing strategies, explores the distinctive characteristics of South Indian markets, and assesses the opportunities and risks shaping the industry's trajectory through 2030.

3 Competitive Landscape: Duopoly and Emerging Challengers

India's food delivery market is defined by a tight duopoly. Zomato (operating under parent Eternal Ltd) commands approximately 58% of the market, while Swiggy holds the remaining 42% [2, 3]. Together, these two platforms process the vast majority of online food orders across the country, creating a market structure that has proven difficult for new entrants to disrupt.

Financial performance diverges significantly between the two leaders. Zomato achieved a landmark milestone in FY25, posting a net income of ₹527 crore on consolidated revenue of ₹20,243 crore — its first full year of profitability [4]. Swiggy, meanwhile, reported revenue of ₹16,333 crore but recorded a net loss of ₹3,107 crore for the same period [4]. The gap has been narrowing, however: Swiggy's Q1 FY27 loss contracted 34% year-on-year to ₹791 crore, while revenue surged to ₹6,812 crore [5]. Zomato's Q1 FY27 net profit rose 268% year-on-year to ₹92 crore [19]. In terms of user engagement, the platforms are remarkably close — Zomato reports approximately 27 million monthly transacting users, while Swiggy's platform-wide MTUs grew 27.4% year-on-year to 27.5 million in Q1 FY27 [20, 21].

Chart Explanation: This chart compares Zomato and Swiggy across four key dimensions. While Zomato leads in market share (58% vs 42%) [2, 3] and FY25 revenue (₹20,243 Cr vs ₹16,333 Cr) [4], the two platforms are nearly identical in monthly transacting users (~27M each) [20, 21]. Zomato Gold leads in loyalty subscribers with 7.4 million versus Swiggy One's 5.7 million [22].

The emerging challenger landscape is increasingly active. Rapido launched its zero-commission food delivery

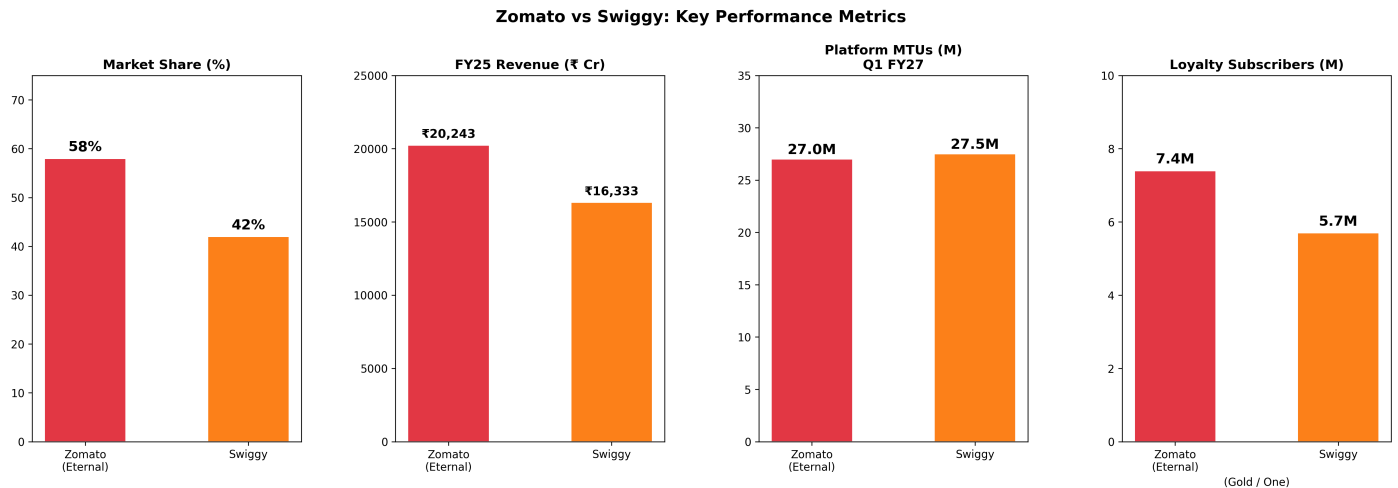


Figure 1: Zomato vs Swiggy Key Metrics

app Ownly in Bengaluru in August 2025, formally rolling out city-wide by March 2026, leveraging its existing rider fleet to offer meals at offline-equivalent prices [10, 11]. Zepto, backed by approximately \$2.4 billion in total funding, has expanded from quick-commerce groceries into prepared food delivery through Zepto Cafe, extending its dark-store model into the food segment [23, 24]. Magicpin’s MagicNow service offers 15-minute food delivery and has expanded from 6 to 20 cities with over 21,000 restaurant partners, targeting 20% order share by FY26 [25]. Flipkart is also exploring entry with a Bengaluru pilot planned for mid-2026 and a wider rollout potentially by late 2026 or early 2027 [26]. The government-backed ONDC platform, however, has struggled to gain traction — its retail orders (including food) peaked at approximately 6.5 million per month in October 2024 but fell 34% to around 4.3 million by April 2025 [27].

Player	Model	Status	Key Differentiator
Rapido (Ownly)	Zero-commission delivery	Live in Bengaluru (Mar 2026) [10, 11]	Leverages existing rider fleet; offline-equivalent pricing
Zepto Cafe	Dark-store prepared food	Expanding nationally [23, 24]	10-minute delivery from dark stores
Magicpin (MagicNow)	15-min restaurant delivery	20 cities, 21,000+ restaurants [25]	Hyperlocal speed; targets 20% order share
Flipkart	Traditional aggregator	Bengaluru pilot planned mid-2026 [26]	Walmart-backed; massive existing user base
ONDC	Open network protocol	~4.3M monthly orders (Apr 2025) [27]	Government-backed; decentralized model

Table: Emerging Competitors in Indian Food Delivery

4 Consumer Ordering Patterns and Pricing Dynamics

Ordering behavior and cuisine preferences reveal a market that is maturing but still expanding its user base. Average order values on Indian platforms stand at approximately \$5.2–\$5.4 [17], reflecting the price-sensitive nature of the Indian consumer. Biryani continues to dominate as the most-ordered dish — Swiggy’s 2025 annual report recorded 93 million biryani orders in 2025 alone, equivalent to roughly 194 orders per minute, with chicken biryani leading at 57.7 million orders [28, 29]. Both platforms experienced stagnating order frequency for nearly six months in early 2025 before gross order value growth rebounded above 20% year-on-year by Q3 FY26 [30]. Swiggy’s platform MTU grew 35% year-on-year to 21.6 million by Q1 FY26, with 35% of users utilizing more than one service on the platform [31].

Platform fees have become a critical revenue lever and a source of consumer friction. Introduced at just ₹2 per order in August 2023, platform fees have climbed aggressively — Zomato raised its base fee to ₹14.9 and Swiggy to ₹17.58 per order (inclusive of GST) by late 2025, with Swiggy implementing four hikes in just seven months [6]. Food delivery aggregators now earn from four primary streams: restaurant commissions, delivery fees, platform fees, and in-app advertising, yet standalone food delivery profitability remains elusive for both platforms [3].

Subscription programs are central to retention and monetization strategies. Zomato Gold had 7.4 million

but Zomato has closed the gap significantly. Zomato’s management has stated that its market share in Southern cities is now close to its national average, a marked improvement from its earlier position [9]. This convergence reflects Zomato’s aggressive investment in restaurant partnerships, delivery infrastructure, and marketing in the region.

South India’s cloud kitchen ecosystem is the most developed in the country. The region commands 35% of India’s cloud kitchen market revenue in 2025, reflecting strong delivery infrastructure and consumer demand across Bengaluru, Hyderabad, and Chennai [8]. India’s cloud kitchen market overall was valued at \$1.24 billion in 2025 and is forecast to reach \$3.69 billion by 2034 at a 12.28% CAGR [34]. South India’s outsized share positions the region as a laboratory for delivery innovation and operational efficiency.

Regional cuisine preferences further distinguish the South Indian market. The biryani ordering phenomenon is heavily driven by Hyderabad and other South Indian cities, with chicken biryani alone accounting for 57.7 million orders nationally in 2025 [29]. Bengaluru, Pune, and Hyderabad have also emerged as testing grounds for hyperlocal and rapid delivery models, where platforms experiment with sub-30-minute delivery promises before scaling nationally [12]. The organised food delivery segment’s market share is expanding from an estimated 47–52% in FY25 to a projected 60–65% by FY30, with tier-2 city adoption and rising order frequency as primary growth drivers — a trend particularly visible in South Indian tier-2 cities [1].

6 Growth Drivers and Market Expansion

India’s food delivery market benefits from a confluence of structural tailwinds that support sustained double-digit growth over the coming years.

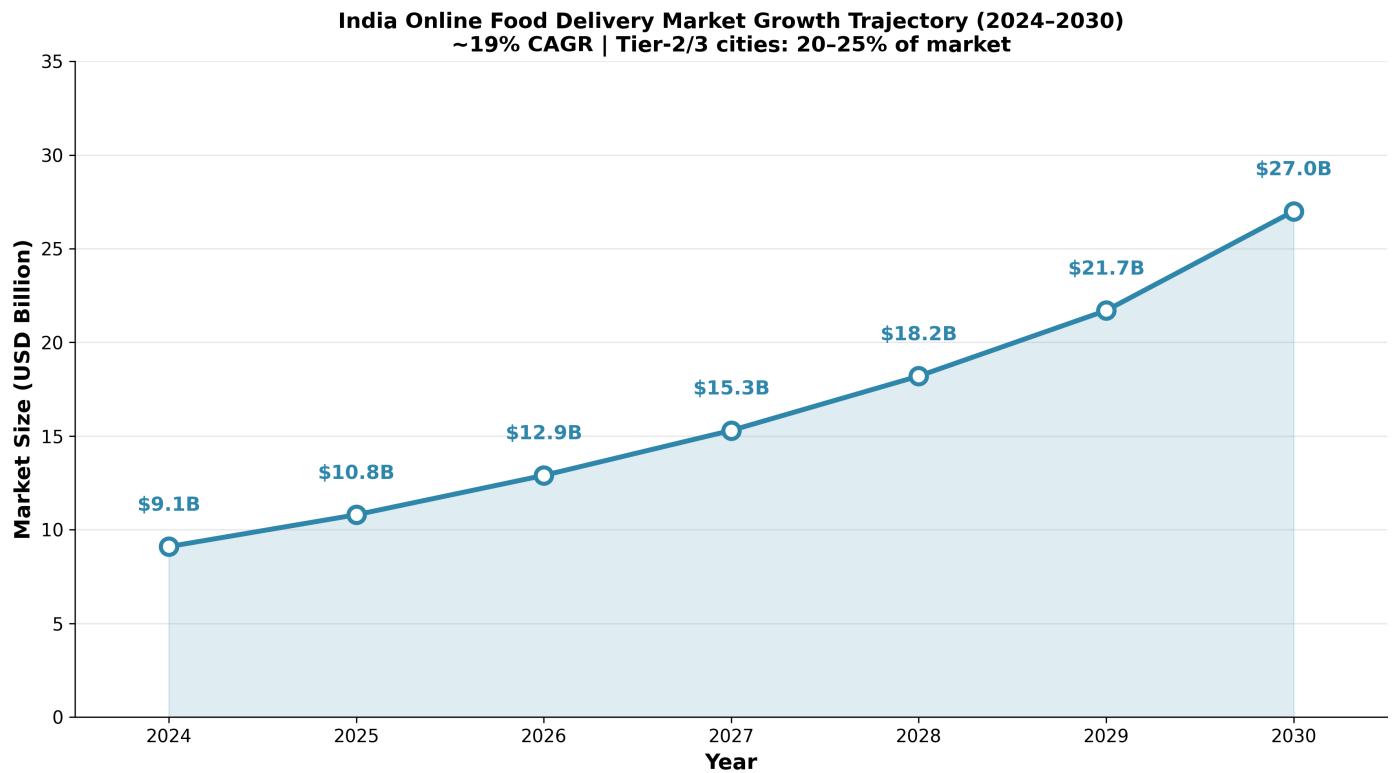


Figure 2: Market Growth Trajectory

Chart Explanation: This chart illustrates the projected growth of India’s online food delivery market from \$9.1 billion in 2024 to approximately \$27 billion by 2030, reflecting a ~19% CAGR [1]. Tier-2 and tier-3 cities already account for 20–25% of the market and are expected to drive the next phase of expansion [1].

Digital infrastructure is the foundational enabler. India’s 660 million smartphone users and 16–17 billion monthly UPI transactions create a massive addressable market [16]. Rural smartphone adoption surged 40% between 2020 and 2024, with tier-2 and tier-3 cities accounting for over 70% of new smartphone sales [16]. This digital penetration is translating directly into food delivery adoption — tier-2+ cities already account for 20–25% of the on-line food delivery market, with order frequency and average order value growth driving the next leg of expansion [1]. Meal delivery user penetration is projected to reach 21.5% nationally in 2026 [35].

The cloud kitchen model is scaling rapidly as a capital-efficient growth channel. The organised food seg-

ment, including cloud kitchens and branded chains, is projected to scale from ₹3.2–3.5 trillion in FY25 to ₹6.6–7.8 trillion by FY30 [34]. Cloud kitchens allow platforms and restaurant entrepreneurs to serve delivery demand without the overhead of dine-in establishments, and South India's 35% share of cloud kitchen revenue demonstrates the model's viability in high-density urban markets [8].

The broader structural shift toward organised food services is accelerating. The organised segment's market share is expanding from 36–41% in FY20 to an estimated 47–52% in FY25, and is expected to reach 60–65% by FY30 [1]. Online delivery's share of the food services market is expected to increase from 11% in FY26 to 18% by FY31, supported by growing digital adoption and stronger demand from tier-2 and smaller cities [18].

7 Risks and Regulatory Challenges

Despite the strong growth outlook, the Indian food delivery industry faces a complex web of regulatory, competitive, and structural risks that could materially affect its trajectory.

Antitrust scrutiny has intensified. A Competition Commission of India (CCI) investigation, initiated in 2022 following a complaint by the National Restaurant Association of India (NRAI), found that Zomato and Swiggy breached competition laws by favouring select restaurant partners through exclusive arrangements and lower commissions [13]. Allegations include mandating the use of delivery services, concealing customer data from partner restaurants, imposing high commissions, and favouring affiliated cloud kitchens [36]. However, in a significant development in July 2026, CCI cleared Zomato on platform fee and delivery charge complaints, ruling that these do not constitute an abuse of dominance [37]. The regulatory landscape remains fluid, with ongoing tensions between platforms and restaurant associations.

Gig worker regulation is reshaping cost structures. India's Social Security Code became effective in November 2025, formally recognizing gig and platform workers and extending nationwide social security coverage [14]. A national social security board is being established to provide healthcare, insurance, and welfare benefits to delivery partners [38]. While this represents an important step for worker welfare, it adds to the cost base for platforms already struggling with food delivery profitability. Additionally, FSSAI has widened its food safety crackdown to dark stores and cloud kitchens, focusing on hygiene practices and cold-chain infrastructure [39].

Quick commerce is emerging as both an opportunity and a competitive threat. Blinkit, Eternal Ltd's quick commerce arm, outpaced Zomato's food delivery unit in net order value in Q1 FY26, signaling a potential shift in consumer spending patterns [40]. Amazon, Flipkart, and Zepto are aggressively expanding into rapid delivery, intensifying competitive pressure across the ecosystem [15]. The NRAI has flagged concerns about platforms engaging in private labelling through 10-minute food delivery, creating direct competition with their own restaurant partners — a conflict that could erode trust in the platform model [41].

Profitability remains the industry's central challenge. Despite a decade of operations and combined revenues exceeding ₹36,000 crore, standalone food delivery profitability remains elusive for both Zomato and Swiggy [3]. Both platforms have been forced to diversify into adjacent businesses such as quick commerce and ticketing to build sustainable business models [3]. The aggressive escalation of platform fees — from ₹2 to approximately ₹15–18 per order in just over two years — reflects the urgency of margin improvement but risks alienating price-sensitive consumers [6].

8 Outlook and Strategic Implications

The Indian food delivery market stands at an inflection point. The duopoly of Zomato and Swiggy remains firmly entrenched, but the competitive landscape is becoming more complex with the entry of well-funded challengers like Rapido, Zepto, and potentially Flipkart. The path to sustainable profitability will likely depend on three strategic pillars: continued platform fee optimization balanced against consumer price sensitivity, successful diversification into adjacent revenue streams, and disciplined expansion into tier-2 and tier-3 cities where unit economics may differ significantly from metro markets.

South India serves as a bellwether for national trends. The region's advanced cloud kitchen infrastructure, high delivery penetration in cities like Bangalore and Hyderabad, and role as a testing ground for rapid delivery models make it a leading indicator of where the broader market is heading. Zomato's success in closing the competitive gap in historically Swiggy-dominated Southern cities demonstrates that market positions remain contestable even in a mature duopoly.

The regulatory environment will be a critical variable. The CCI's mixed signals — finding antitrust breaches while clearing platform fees — suggest an evolving framework that platforms must navigate carefully. Gig worker protections under the Social Security Code will add structural costs, while FSSAI's focus on cloud kitchen compliance could raise barriers for smaller operators. For investors and industry participants, the Indian food delivery market

offers compelling growth potential — but realizing that potential will require navigating a landscape where profitability, regulation, and intensifying competition intersect in increasingly complex ways.

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